GMS WEEKLY

Your Source for Recycling News

March 31st, 2023
Volume 248, Issue 1076
Week 13

Highlights:

- **Quiet week.**
- **Holiday season.**
- **Markets stable.**
- **L/C delays.**
- **Expect a wait.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"We are not our best intentions. We are what we do."

– Amy Dickinson

MARKET COMMENTARY

MORE MUTED!

As the Holy month of Ramadan descends across much of the sub-continent and Turkey, it has once again been a far quieter week in terms of sales activity, and sentiments do seem to be more muted, with focuses currently shifted elsewhere.

With Container & Dry Bulk rates firming once again, the number of firm sales candidates also appears to have dried up and this is leaving keen recyclers empty handed for yet another week.

While there have been a plethora of sales at the start of the year, particularly in the Capesize Bulker and Container sectors, the supply has surprisingly slowed so much of late, it nearly seems like it has timed itself in sync with declining sub-continent prices.

Steel plate prices had also found themselves going through a phase of incredible volatility but seem to have stabilized (comparatively) more since, and there is still interest from the Indian and Bangladeshi markets to acquire at the present overall levels, which are hovering close to or even well above USD 600/LDT on choice units.

L/Cs remain the chief concern in Bangladesh amidst a chronic lack of liquidity in the country, and several L/Cs are left waiting for Central Bank approval, which is inevitably leading to local delays on boardings, payments, and beachings.

Owners are therefore reminded that it is not exactly business as usual (especially in Pakistan and Bangladesh to an extent), despite several sales taking place there recently.

Finally, at the far end, Turkey remains unchanged with its weekly (and marginal) fluctuations in import and local steel plate prices, as does the Lira continue on its seemingly unrelenting decline against the U.S. Dollar.

For week 13 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Positive	610 / LDT*	630 / LDT*	650 / LDT*
2	India	Positive	570 / LDT	580 / LDT	600 / LDT
3	Pakistan	Weak	540 / LDT*	550 / LDT*	560 / LDT*
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

**Subject L/C approval*

All at GMS would like to wish readers a Ramadan Kareem!

BANGLADESH

Backlog!

Seeking approvals.

After a number of deals concluded over the last month or so, there has been a backlog of sales seeking Central Bank approval for the opening of fresh L/Cs in Bangladesh this week and this is leading to local delays in getting vessels cleared and paid for beaching.

As such, there has been a slowdown in sales activity whilst local Buyers struggle to sort their delivery and L/C / payment issues out, and rates remain slightly softer than the peaks they touched several weeks ago, especially due to weaker steel plate prices that have declined about USD 28/Ton.

Demand ripe.

Adding downward pressure to the local sentiment was the Bangladeshi Taka that further declined past a record BDT 107.10 against the U.S. Dollar.

Notwithstanding the above, demand remains ripe (to an extent) and local Buyers are still there to fill empty plots, as long as L/C issues are sorted. As a reminder to our readers, current prices are still at historical highs, at or above USD 600/LDT on choice units.

NO MARKET SALES REPORTED

INDIA

HOLIDAY ADVANTAGE!

Steel return.

After some worrying reversals in recent weeks and despite steel plate prices in India jumping nearly USD 10/Ton by mid-week and ending the week only USD 2/Ton above last week, Buyers in Alang seemed willing to challenge Bangladesh once again, even on the small number of recycling units that are coming to the market.

Not only is this because of the diminished number of units that are in the market for sale, but the natural side effect of it is also being felt at Alang (and Chattogram's) waterfronts as port positions over the last couple of weeks have barely seen any fresh arrivals.

Seeking to acquire.

Moreover, even the Indian Rupee stayed firm in the low Rs. 82s against the U.S. Dollar.

On the sales front, there are still a couple of HKC green sales that are reportedly heading to India (despite the addition of two more NK approved yards in Chattogram last week), but even those container Owners selling for green recycling are now seeing trading interests on their vintage tonnage, pop up again due to improving charter rates.

Finally, as Ramadan holidays descend across the Indian sub-continent, India may be able to secure some much-needed tonnage (with many plots still deserted) in the next few weeks ahead.

NO MARKET SALES REPORTED

PAKISTAN

FAR FROM COMPETITIVE!

Inabilities.

Despite Pakistan remaining far from being competitive with their Indian sub-continent counterparts, their chief concern is still their crippling inability to get L/Cs approved by the Central Government Bank for any new vessels.

Adding to their frustrations have been (a) the Pakistani Rupee that is now trading at a record PKR 283.60 against the U.S. Dollar, (b) steel plate prices that have flatlined once again due to lack of trading, and (c) even with the minimal supply of tonnage, most units will not be heading towards Gadani shores as domestic recyclers are unable to offer competitively.

Holiday reflection.

As such, Gadani remains an inert market for ship recycling for another week, and there are few signs that this market will get back to being competitive any time soon.

Therefore, as Ramadan holidays commence, it is perhaps an appropriate time to reflect on just how a turbulent a period it has been for Pakistan as a country, and hopefully post holidays, there can be some real and workable progress to get Gadani back in action once again.

NO MARKET SALES REPORTED

TURKEY

EAGER, YET STUCK!

Import and steel jump.

Even though import and local steel plate prices registered improvements of about USD 10/Ton this week and local offerings are still strong (on the back of an excruciatingly diminished supply resulting in Recyclers holding their prices), Aliaga yards continue to suffer.

The Lira has also been dwindling, breaking records with each passing week that has resulted in the Lira now floating around the mid TRY 19.1X mark against the U.S. Dollar.

Local fixtures.

With the recent rumours of local fixtures still being unconfirmed and no further information of market units being proposed to Turkish yards, it remains clearly evident that this market is officially stuck until Ramadan is concluded.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Have you ever wondered why there isn't a hot pink passport? The reasoning is because most countries prefer dark shades of red, green, and blue since these dark colors look more official and if they're dirty, it's not as noticeable.*
- *Out of all 50 United States, not one has the letter Q in it.*
- *Scotland has more than 400 words for snow. There are 421, to be exact!*
- *Northeast Greenland National Park is conveniently also located on the world's largest island. This remote national park is huge at 375,000 square miles.*
- *The Eiffel Tower took exactly 2 years, 2 months, and 5 days to create.*
- *There's an American flag on royal wedding souvenirs of the wedding of Prince Harry to American Meghan Markle.*
- *There are 5 countries in the world that don't have airports. If you're a jet-setting traveler, it's hard to imagine not having an airport nearby for your next family gathering or work event. However, Vatican City, San Marino, Monaco, Liechtenstein, and Andorra somehow make it work!*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
April 04 – Mahavir Jayanthi April 07 – Good Friday April 22 – Eid-ul-Fitr	April 06 – April 12 April 18 – April 25

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
April 14 – Bengali New Year April 19 – Shab-E-Qadr April 21 – April 23 – Eid-ul-Azha	April 06 – April 09 April 19 – April 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
April 05 – Ching Ming Festival	April 22 – April 24 - Eid-ul-Fitr	April 20 – April 24 – Ramazan Bayrami

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ALANG - Port Position as of March 31, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Halul 20	1,395	Supply Vessel	Arrived March 24
2	Halul 21	1,406	Supply Vessel	Arrived March 24
3	Ice	9,646	Drill Ship	Arrived March 31
Total Tonnage		**12,447**		

CHATTOGRAM - Port Position as of March 31, 2023

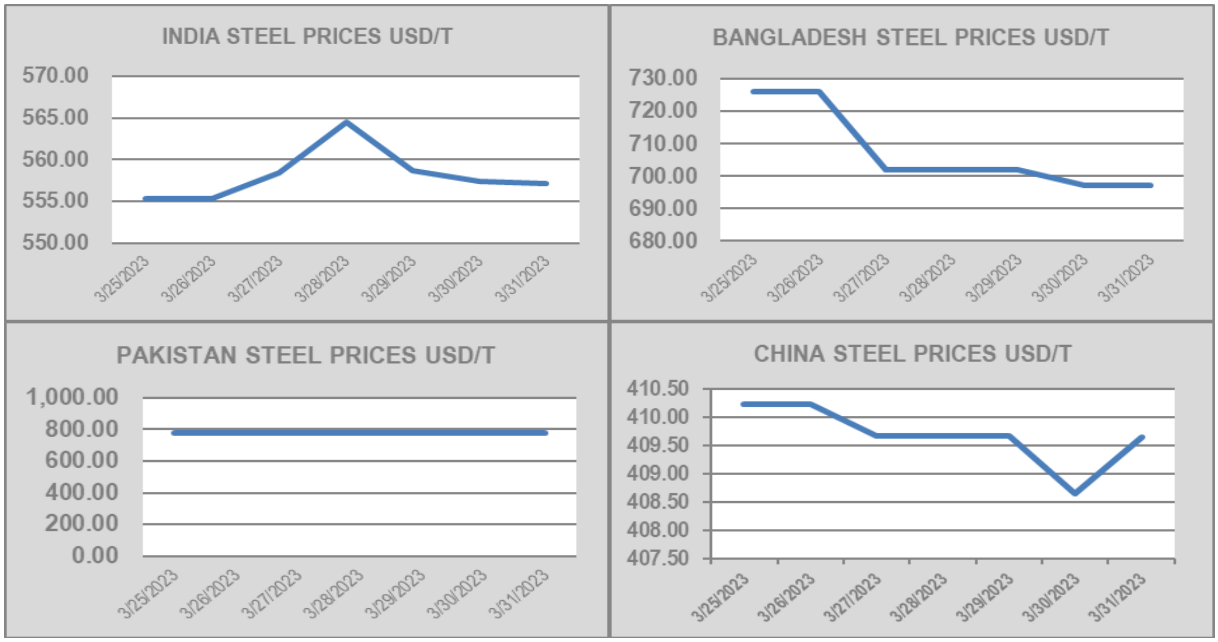
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Adriatic Energy	32,303	LPG	Arrived March 27
2	Sento	2,726	Container	Arrived March 30
3	Shravan	7,399	Container	Arrived March 22
Total Tonnage		**42,428**		

GADANI - Port Position as of March 31, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Madina 1	1,657	Tanker	Arrived March 03
Total Tonnage		**1,657**		

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/25/2023	555.29	45,800.00	777.39	220,000.00	725.96	75,500.00	410.24
3/26/2023	555.29	45,800.00	777.39	220,000.00	725.96	75,500.00	410.24
3/27/2023	558.46	46,000.00	777.39	220,000.00	701.92	73,000.00	409.67
3/28/2023	564.55	46,400.00	777.39	220,000.00	701.92	73,000.00	409.67
3/29/2023	558.66	46,000.00	777.39	220,000.00	701.92	73,000.00	409.67
3/30/2023	557.44	45,900.00	777.39	220,000.00	697.12	72,500.00	408.65
3/31/2023	557.18	45,800.00	777.39	220,000.00	697.12	72,500.00	409.65



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